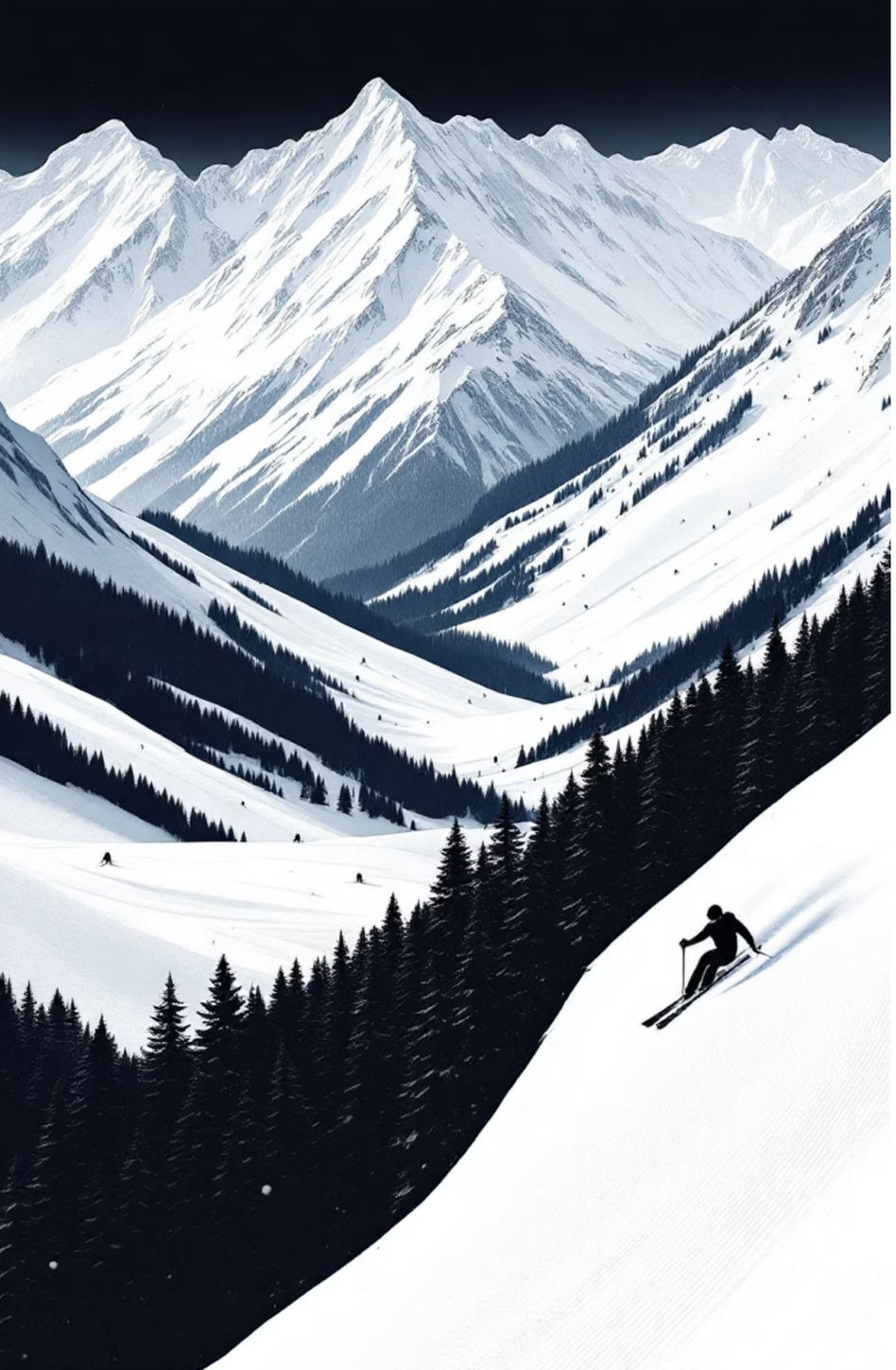


OBERMEYER

Sport Obermeyer: Managing Fashion & Forecast Risk in Skiwear

Strategic Supply Chain Analysis

G2: **Dayan** Paiewonsky, **Omar** Hatab, **Louis** Bahner,
Maria Camila Puerto, **Prashant** Jindal, **Ritvik** Krishnan Srivastava



MARKET CONTEXT

The Skiwear Market Landscape

Market Position

- $32.8M annual sales (1992)
- 45% children's market share
- 11% adult market share
- Middle-to-high-end positioning

Competitive Dynamics

- Columbia: 23% adult share, growing rapidly
- Lower-price, high-volume competitor
- Product variety increasing: 480 to 700 SKUs
- Fashion cycle intensifying pressure

Founded in 1947 by Klaus Obermeyer, the company evolved from teaching skiing in Aspen to commanding leadership in children's skiwear while competing in an increasingly volatile market

PARTNERSHIP DYNAMICS

Obermeyer and Obersport: A Study in Contrasts

Obersport's Role

- Hong Kong joint venture (est. 1985)
- Procured fabrics, coordinated production
- Oversaw manufacturing in HK, Macau, China

Interdependence

- 80% of Obersport's production for Obermeyer
- Obermeyer's delays impacted Obersport's supply



Three Management Philosophies

Klaus Obermeyer (Vision)

- Harmony & intuition
- Artistic business view
- Relied on experience
- Delegated production

Wally Obermeyer (Analysis)

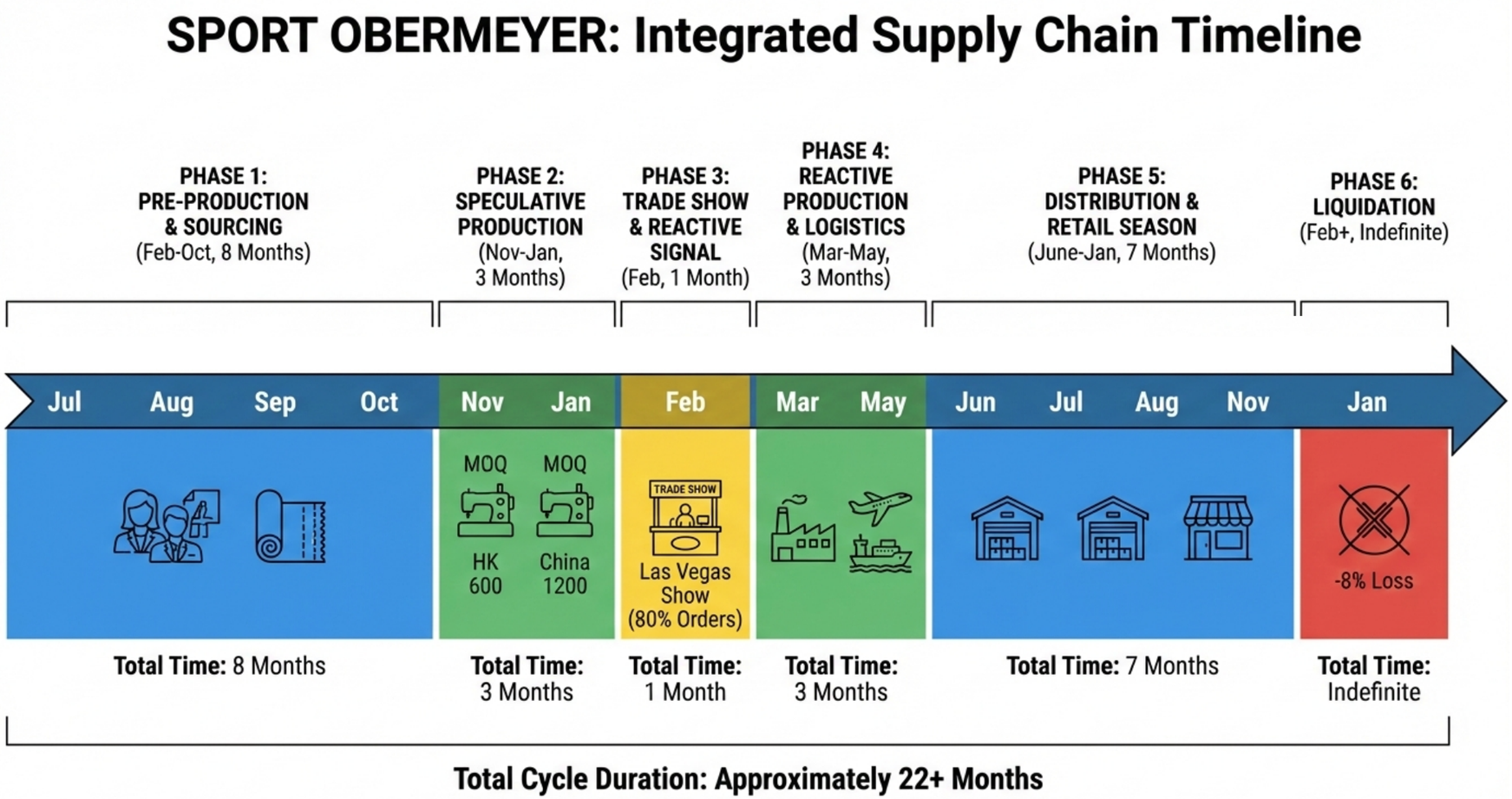
- Analytical, data-driven
- MBA management style
- Formal forecasting
- Structured decisions

Raymond Tse (Execution)

- Execution-focused, operations-first
- Pragmatic and capacity-conscious
- Relationship-based management
- Risk-aware but long-term oriented

Relationship based on trust, not contracts. Contrasting styles created tension with increased product variety.

The 24-Month Production (Supply) Cycle



The Forecasting Dilemma: Obermeyer committed half its production four months before seeing retailer orders - an uncertain $5M+ decision

The Ordering (Demand) Cycle

Phase 1: Before the Las Vegas show

Demand state: High uncertainty

Risks:
- Maximum forecast error
- Highest cost of being wrong

Phase 2: During the Las Vegas show

Demand state: Partial visibility

Risks:
- Reduced, but material

Opportunity:
- Adjust production mix; prioritise winners

Phase 3: Early Retail Season

Demand state: Mostly known

Risks:
- Stockouts now would be very costly

Constraint:
- Lead times limit response

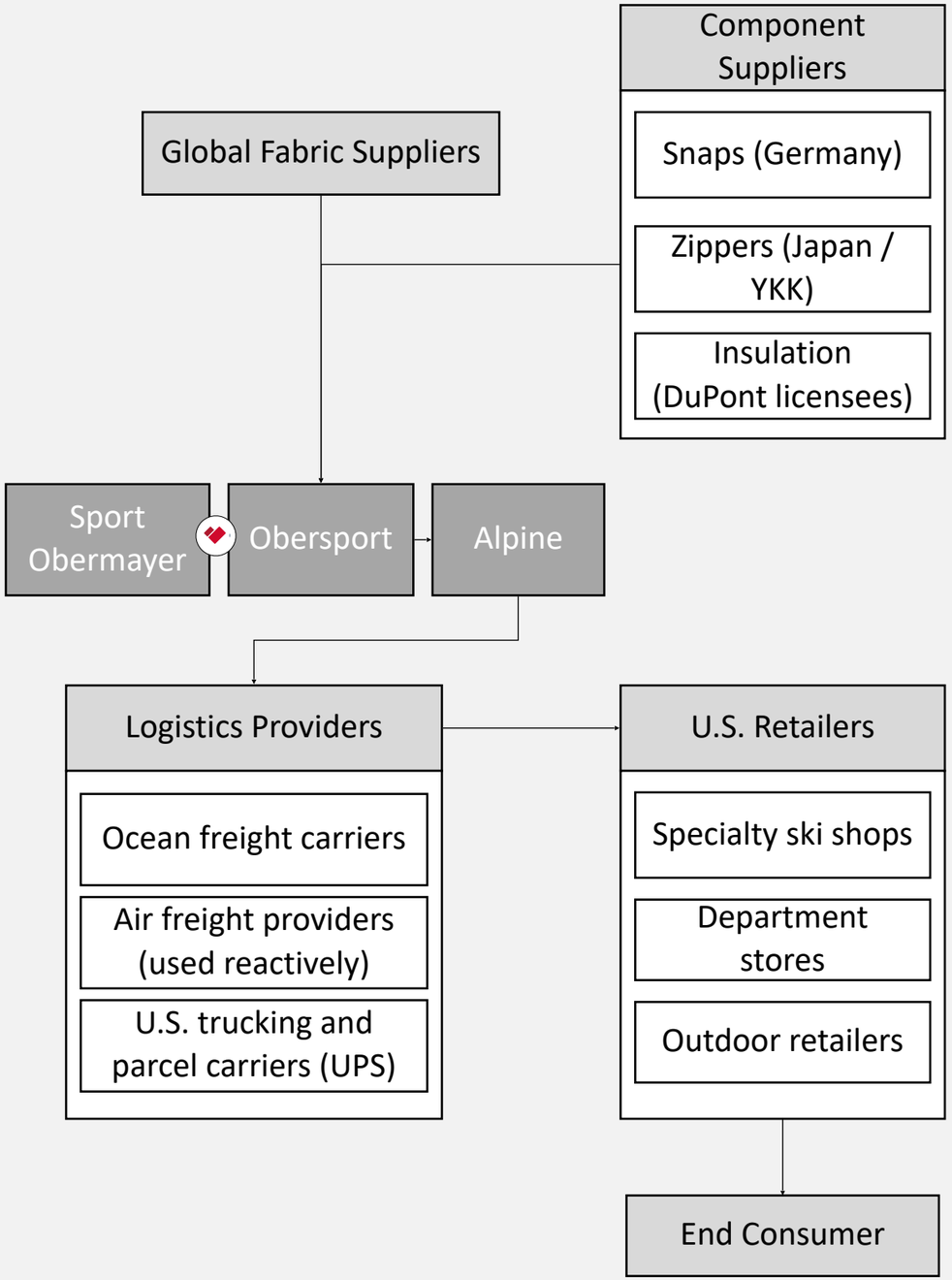
Phase 4: Late Retail Season

Demand state: Fully known

Outcomes:
- Markdowns
- Liquidation
- Lost margin on misses

› “The core challenge is that production decisions must be made early in the demand cycle, when uncertainty is highest, while meaningful demand information arrives too late to fully correct mistakes.”





Global Supply Chain Complexity

Material Sourcing Challenges

- Shell fabrics: US, Europe, Asia suppliers
- Greige dyeing/printing: 45-60 day lead times
- High minimum order quantities across components
- Limited ability to adjust once committed

The Hong Kong vs. China Trade-off

Hong Kong: Higher productivity, better quality, lower minimums, premium cost

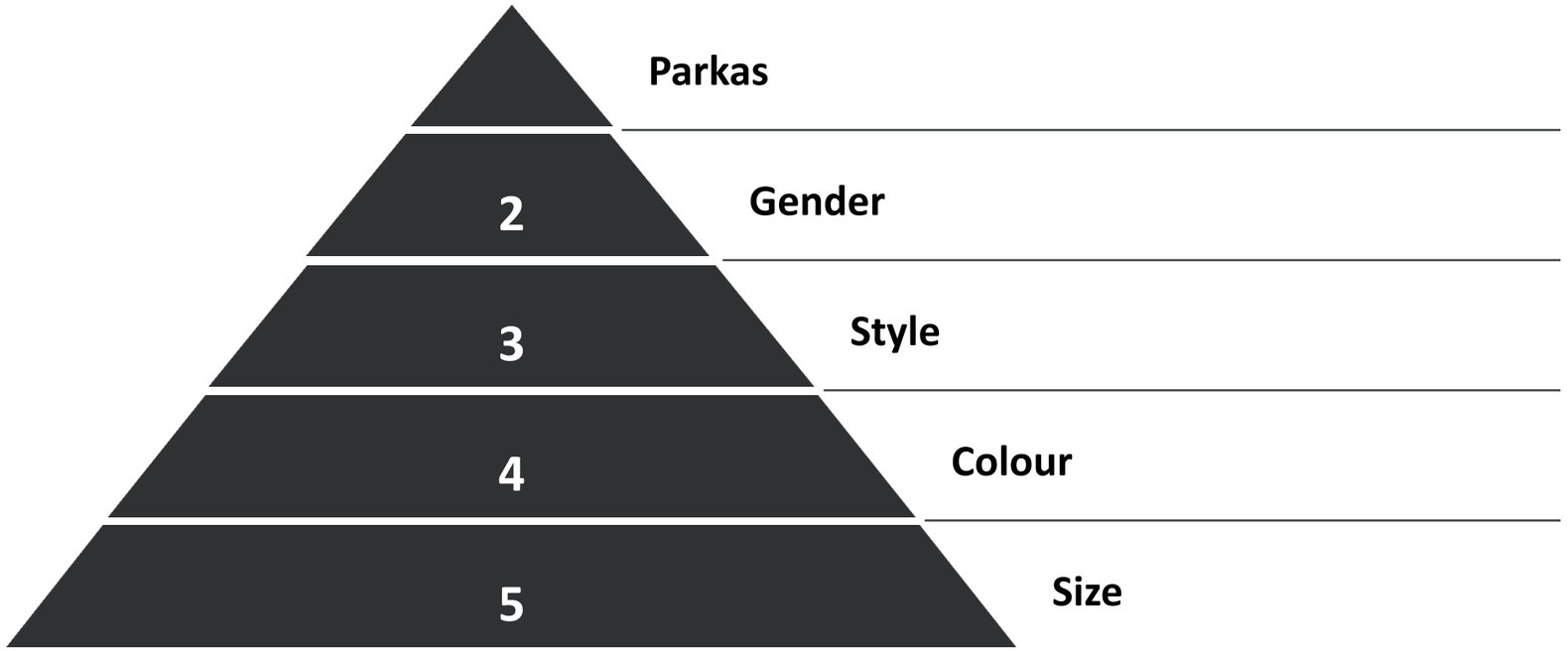
China: 30% lower labor costs, but larger minimums, higher defects, quota exposure

The Inflexibility Problem

Long lead times + high minimums + split production = decisions nearly impossible to reverse mid-cycle



SKU Proliferation: Variety Creates Complexity



Parkas drive the collection — pants, vests, accessories designed to match core styles

Customer Appeal

Wide selection increases intent across demographics

Operational Burden

Lower volume per SKU raises forecast error probability

Supply-Demand Mismatch

Exponential growth in SKUs risk at item level



DIAGNOSIS

Why Performance is Poor at Sport Obermeyer

Extreme Demand Uncertainty

- Fashion skiwear with short selling season
- Large SKU proliferation (styles × colors × sizes)
- Forecasts made before reliable market signals

Long & Inflexible Lead Times

- Fabric dyeing: 45–60 days
- Zippers & components: up to 90 days
- Ocean shipping: ~6 weeks

Sourcing Misalignment

- China: low cost but inflexible, slow, large batches
- Hong Kong: higher cost but fast and flexible
- No clear logic for product placement

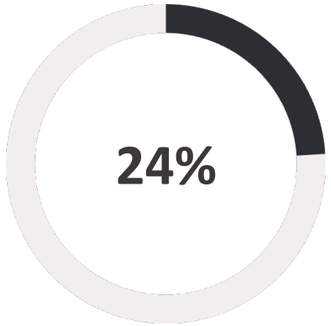
1. **Excess Inventory & Markdowns**
2. **Stockouts of Best Sellers**
3. **High Expediting & Airfreight Costs**

STRATEGIC CHALLENGE

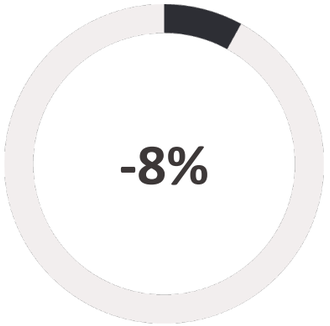
The Production Planning Dilemma

Wally's dilemma: early production commitments and factory allocation under high uncertainty.

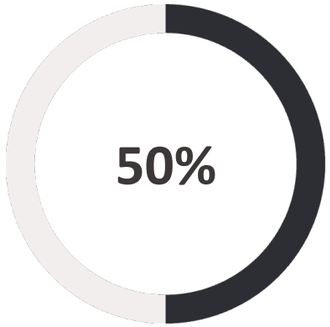




Profit Margin (Full Price)



Liquidation Loss (Unsold)



Early Commitment

Wally's approach: Independent forecasts. Disagreement signals demand variability.

01

Independent Forecasts

Forecast demand separately

02

Measure Dispersion

Disagreement = uncertainty

03

Differentiate Production

Conservative for uncertain, aggressive for consensus

04

Allocate Production

Balance China's cost vs. HK's flexibility

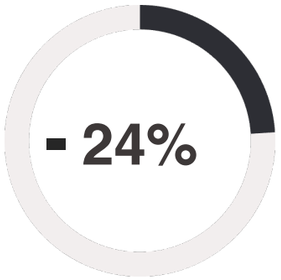
The Core Trade-off: Cost efficiency vs. risk management for inventory and responsiveness.



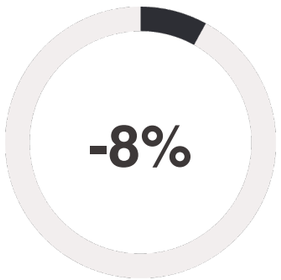
QUESTION 1

Initial Order Quantity Recommendation

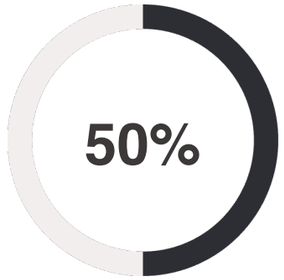
											= STD / D		= D + (Z score * STD)		
	Individual Forecasts							Average	Standard	2 x STD	Variation	Risk Profile	Profit Maximizing	Rounded PMQ	Proposed Order
Style	Price	Laura	Carolyn	Greg	Wendy	Tom	Wally	Forecast	Deviation		Coefficient		Quantity		Quantity
Assault	$ 90	2,500	1,900	2,700	2,450	2,800	2,800	2,525	340	680	27%	Low Risk	2,983.95	2,984	2,002
Seduced	$ 73	4,600	4,300	3,900	4,000	4,300	3,000	4,017	556	1,113	28%	Low Risk	4,767.34	4,767	3,198
Entice	$ 80	1,200	1,600	1,500	1,550	950	1,350	1,358	248	496	36%	Moderate Risk	1,692.64	1,693	600
Gail	$ 110	900	1,000	900	1,300	800	1,200	1,017	194	388	38%	Moderate Risk	1,278.48	1,279	600
Electra	$ 173	2,500	1,900	1,900	2,800	1,800	2,000	2,150	404	807	38%	Moderate Risk	2,694.63	2,695	600
Daphne	$ 148	1,700	3,500	2,600	2,600	2,300	1,600	2,383	697	1,394	58%	High Risk	3,323.43	3,323	600
Isis	$ 99	800	700	1,000	1,600	950	1,200	1,042	323	646	62%	High Risk	1,477.57	1,478	600
Anita	$ 93	4,400	3,300	3,500	1,500	4,200	2,875	3,296	1,047	2,094	64%	High Risk	4,708.15	4,708	600
Teri	$ 123	800	900	1,000	1,100	950	1,850	1,100	381	762	69%	High Risk	1,613.68	1,614	600
Stephanie	$ 133	600	900	1,000	1,100	950	2,125	1,113	524	1,048	94%	High Risk	1,819.19	1,819	600
Totals		20,000	20,000	20,000	20,000	20,000	20,000	20,000					26,359.05	26,359	10,000



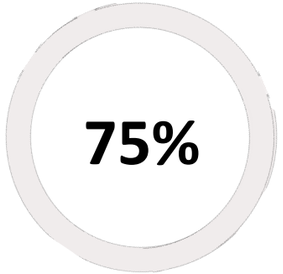
Cost of Understocking



Cost of Overstocking



Early Commitment



Critical Fractile



Z Score

Assumptions: All styles are made in Hong Kong and initial production commitment must be at least 10,000 units.

QUESTION 2

Operational Challenges & Strategic Solutions

Early Production Uncertainty

➢ Delay commitments, shift volume to post–Las Vegas orders

Premature Design Lock-In

➢ Use postponement, greige fabric with delayed dyeing decisions

One-Size-Fits-All Sourcing

➢ Segment sourcing, Hong Kong for uncertain styles, China for predictable



Ignoring Forecast Disagreement

➢ Treat disagreement as risk signal limit early production exposure



SKU Proliferation Risk

➢ Reduce low-value SKUs, standardize fabrics and components



Underutilized Market Signals

➢ Enhance retailer sell-through visibility, enable responsive replenishment



QUESTION 3

Short Term Risk vs Long Term Capability Building

Short Term (focused on flexibility vs cost tradeoffs)

- Low Risk: Mostly China
- Medium Risk: 60% China/ 40% Hong Kong
- High Risk: Mostly / 100% Hong Kong

Long Term- Structural Strategy (focused on easing LT decisions)

- Invest in China capabilities
- Co- investment model
- Long Term role for Hong Kong

Long Term Strategy

Invest in China Capabilities

- Improve quality
- Improve flexibility
- Reduce repair rates
- Enable Smaller batches

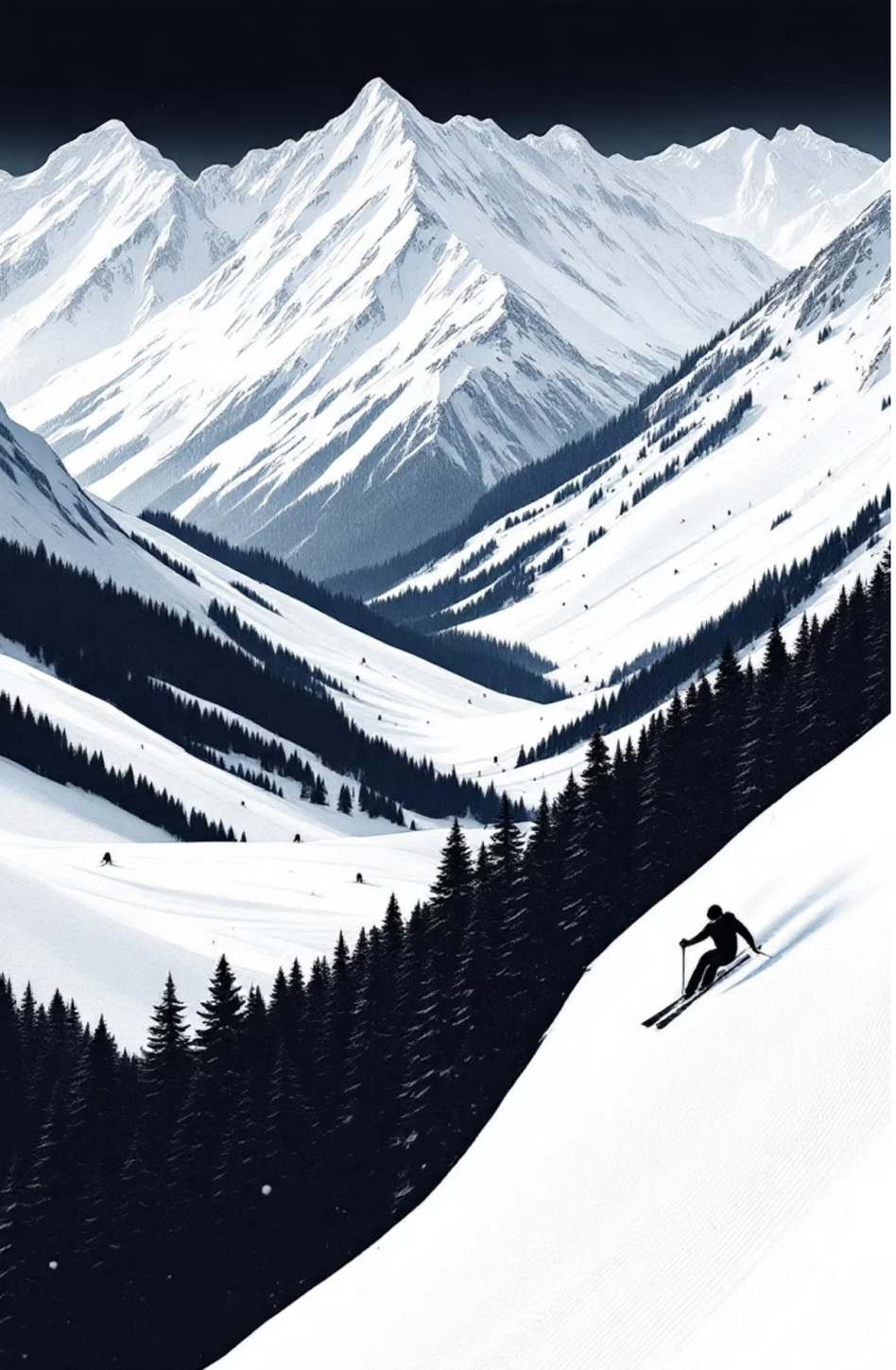
Co-investment model

- Obermeyer 60%/ Obersport 40%
- Obermeyer captures most economic upside
- Aligns incentives around operational excellence

Long Term Role for Hong Kong

- Fast end- to- end cycle
- Late- season replenishment
- Short fulfillment cycles





Thank You!

